



PROJECT RISK MANAGEMENT — FINAL EXAM MEMORY SHEET

★ Focused on YOUR Notes + Doctor's Important Topics

💧 Chapter 4 Core Focus

1 CORE DEFINITION

Risk

An uncertain event or condition that, if it occurs, has a positive or negative effect on project objectives.

- **Positive risk** = Opportunity
- **Negative risk** = Threat

2 MAIN GOAL OF RISK MANAGEMENT

- Increase opportunities
- Reduce threats
- Improve decision making
- Protect project objectives
- Support value delivery

3 THE 7 RISK MANAGEMENT PROCESSES ★ VERY IMPORTANT

1. **Plan Risk Management**
2. **Identify Risks**
3. **Perform Qualitative Risk Analysis**
4. **Perform Quantitative Risk Analysis**
5. **Plan Risk Responses**
6. **Implement Risk Responses**
7. **Monitor Risks**

IMPORTANT

Risk management is:

- **continuous**
- repeated throughout the lifecycle
- updated as risks change

4 QUALITATIVE vs QUANTITATIVE ★ VERY IMPORTANT

Qualitative

Quantitative

Subjective	Numerical
Low/Medium/High	Exact values
Fast	Detailed
Prioritizes risks	Measures exact impact
Uses probability-impact matrix	Uses Monte Carlo / EMV

IMPORTANT

Quantitative analysis is not always required because it needs:

- credible data
- specialist tools
- additional cost and effort

For simpler projects, qualitative analysis alone may be sufficient.

5 RISK SCORE

Risk Score = Probability × Impact

Higher score = more severe risk

6 THREAT RESPONSE STRATEGIES ★ VERY IMPORTANT

Threat Response Strategies

- **Avoid** — Eliminate the threat
- **Mitigate** — Reduce probability or impact
- **Transfer** — Shift risk to third party
- **Escalate** — Move risk to higher management
- **Accept** — Acknowledge the risk

Acceptance Types

Active Acceptance	Passive Acceptance
Contingency plan/reserve prepared	No proactive action
Response prepared in advance	Risk reviewed only

7 OPPORTUNITY RESPONSE STRATEGIES

Opportunity Response Strategies

- **Exploit** — Ensure opportunity happens
- **Enhance** — Increase probability/impact
- **Share** — Share opportunity with partner
- **Escalate** — Move to higher authority
- **Accept** — Benefit if it occurs

8 ESCALATION RULE ★ EXAM FAVORITE

Risk Escalation

Moving a risk to a higher level when:

- authority is insufficient
- strategic objectives are affected
- multiple projects/departments are impacted

VERY IMPORTANT

A risk is escalated to:

👉 **the level whose objective is affected**

9 RISK OWNER vs RISK ACTION OWNER ★

Risk Owner	Risk Action Owner
Monitors the risk	Implements response
Tracks triggers	Executes actions
Accountable for risk	Responsible for action

10 SECONDARY vs RESIDUAL RISK ★

Secondary Risk	Residual Risk
New risk created by response	Remaining risk after response
Caused by mitigation/action	Cannot be eliminated completely

Memory Trigger

- Residual risk = REMAINS after response
- Secondary risk = CREATED BY response

1 1 CONTINGENCY vs MANAGEMENT RESERVE ★

Contingency Reserve	Management Reserve
Known risks	Unknown risks
Included in baseline	Outside baseline
Planned uncertainty	Unforeseen uncertainty

1 2 TRIGGER CONDITIONS ★

IMPORTANT

Trigger conditions activate planned risk responses during the Implement Risk Responses process.

Trigger Conditions

Indicators showing that a risk response should be activated.

Example

If supplier delay exceeds 5 days → activate backup supplier plan.

1 3 RISK REGISTER ★

Risk Register Contents

- Risk ID
- Description
- Category
- Probability
- Impact
- Trigger
- Response
- Risk owner
- Status

Top 10 Risk Tracking

A monitoring technique used to continuously review the highest-priority risks throughout the project lifecycle.

Complete PMI Risk Statement

Due to [cause], [risk event] may occur, resulting in [effect].

1 4 RISK ATTITUDE vs TOLERANCE vs THRESHOLD ★

Concept	Meaning
Risk Attitude	Behavior toward risk
Risk Tolerance	Amount of variation acceptable
Risk Threshold	Exact limit requiring action/escalation

Example

Tolerance = organization accepts moderate schedule delays

Threshold = delays above 5 days require escalation

Risk Attitude Types

Risk-Averse — Avoids risk and prefers stability

Risk-Seeking — Willing to take higher risks for greater rewards

Risk-Neutral — Balances risk and reward objectively

1 5 PREDICTIVE vs ADAPTIVE vs HYBRID ★ VERY IMPORTANT

Predictive	Adaptive	Hybrid
Upfront planning	Continuous review	Combination
Stable requirements	Frequent changes	Mixed environment
Waterfall	Agile	Both

IMPORTANT

Adaptive projects require:

- continuous risk review
- flexibility
- frequent reassessment

1 6 EMV FORMULA

EMV = $\Sigma(\text{Probability} \times \text{Impact})$

1 7 WATCHLIST

A list of low-priority risks that are:

- monitored regularly
- reviewed for changes
- reassessed throughout the project lifecycle

1 8 SWOT ★

SWOT

- **Strengths** — Internal advantages
- **Weaknesses** — Internal disadvantages
- **Opportunities** — Positive risks
- **Threats** — Negative risks

Delphi Method

A risk identification technique where experts provide anonymous opinions repeatedly until consensus is reached.

1 9 ACCOUNTABILITY vs RESPONSIBILITY ★

Accountability	Responsibility
Ownership of result	Performs the work
Cannot be delegated	Can be delegated

2 0 PROJECT vs PROGRAM vs PORTFOLIO vs ORGANIZATIONAL RISK ★

Level	Focus
Project	Operational objectives and tactical risks
Program	Integrated benefits across related projects
Portfolio	Strategic value and organizational priorities
Organizational / Enterprise	Enterprise-wide governance and resilience

IMPORTANT

- Project risks are operational and tactical
- Portfolio and organizational risks are strategic

2 1 MOST IMPORTANT EXAM PHRASES

- **Risk management** is continuous throughout the lifecycle
- **Risks** change over time
- **Adaptive environments** require frequent reassessment
- **Qualitative** = prioritization
- **Quantitative** = numerical analysis
- **Risk owner** monitors
- **Risk action owner** implements
- **Escalate** to the level whose objective is affected
- **Secondary risk** is created by response
- **Residual risk** remains after response
- **Contingency reserve** = known risks
- **Management reserve** = unknown risks
- Quantitative analysis is not always required
- Trigger conditions activate planned responses